

Arcadia Protocol

The Allocation Rail for On-Chain Trading Talent

1. The Problem

Every day, skilled on-chain traders generate real, provable performance — and almost none of it translates into outside capital.

For traders: there is no credible way to prove skill. Leaderboards reward whoever ran the hottest trade this week. Screenshots can be faked, cherry-picked, or taken out of context. A trader with two years of consistently profitable, risk-managed trading has no mechanism to turn that history into more capital to manage.

For investors: there is no credible way to find skill. Allocating to an on-chain trader today means trusting a stranger's word, a Discord reputation, or a curated highlight reel — with no risk-adjusted record, no proof of real capital at risk, and no protection against the trader simply disappearing with the funds.

The result is a two-sided market failure: real trading talent stays invisible, and real investor capital stays on the sidelines, because neither side has a trustworthy way to find the other.

Prop trading is one of the fastest-growing corners of crypto, and as more capital seeks funded accounts, the gap between "traders who are actually good" and "traders who look good" only widens.

2. The Solution: An Allocation Rail, Not Just a Scorer

Arcadia is infrastructure that lets investor capital actually **reach and be deployed with** proven traders — not just a tool that reports on who looks skilled from the sidelines.

Risk-adjusted, on-chain performance scoring already exists as a category. What doesn't exist is a protocol where:

- Traders post **their own real capital** and trade **real positions through the protocol itself**
- Investors **allocate capital directly** to a scored trader, with capacity that scales to that trader's proven skill and stake
- Profit is automatically split between trader, investor, and Arcadia — so every party wants the same outcome
- The trader can **trade**, but can **never withdraw investor capital** — custody risk is removed by design, not by promise

Read-only analytics tools can tell you a trader looks good. Arcadia is the rail that lets you actually put capital to work with them, safely, at a size that matches their proven track record.

In one line: *Arcadia isn't a leaderboard. It's the pipe that lets proven trading skill and investor capital actually meet.*

3. How It Works

1. **Profile creation** — A trader creates an on-chain profile on Arcadia.
 2. **Self-stake** — The trader stakes their own capital. This capital is locked and slashable — it's their skin in the game, and it's what makes the entire score and capacity system trustworthy.
 3. **Declared risk parameters** — At signup, the trader declares their own trading boundaries: maximum leverage, maximum position size, maximum single-trade risk. This becomes their contract with the protocol.
 4. **Real trading, through the protocol** — The trader executes real trades through Arcadia's integrated venues (e.g. Drift, Jupiter). Positions are real, capital at risk is real, and execution happens against genuine market liquidity — not against counterparties the trader controls.
 5. **Score calculation** — Arcadia computes a live, continuously updated risk-adjusted score from the trader's on-chain history (see Section 4).
 6. **Capital allocation** — Investors browse scored trader profiles and allocate capital directly. The trader can trade with this capital, but cannot withdraw it under any circumstance — that permission simply doesn't exist at the smart contract level.
 7. **Profit split** — Realized profit is split automatically between trader, investor, and Arcadia.
 8. **Ongoing monitoring** — The trader's behavior continues to be monitored post-allocation. Breaches of declared parameters or detected manipulation trigger slashing (see Section 5) and immediately reduce future capacity.
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4. The Score: What Goes Into It

The Arcadia score is not a single number pulled from raw P&L. It's built from multiple layers designed to reflect *skill*, not luck, and to resist gaming.

Performance data

- Risk-adjusted return (Sortino ratio — penalizes downside volatility without punishing upside swings)
- Maximum drawdown
- Profit factor (gross profit ÷ gross loss)

- Win rate combined with average win/loss size, never win rate alone
- Consistency across rolling time windows, not just one cumulative figure

Capital & stake data

- How much of the trader's own capital is locked and at risk
- Ratio of self-funded stake to total capital under management

Time and volume thresholds

- Minimum trading history (e.g. 90+ days) before a trader is scoreable
- Minimum number of distinct trades and minimum notional volume — a handful of large trades is easy to fake; hundreds of trades across weeks is not

Venue and pattern data

- Trades must execute on whitelisted venues against real market liquidity
- Wallet-clustering and funding-source analysis to detect linked wallets or wash-trading patterns

Example, illustrated:

A trader with a 72 score has traded for 90+ days, executed 150+ trades across whitelisted venues, staked \$10,000 of their own capital (locked for the track-record period), maintained a Sortino ratio above 1.5, and never drawn down more than 12% — with no linked wallets or wash-trading patterns detected. Faking that record would cost more in capital and time than it could ever return.

5. Manipulation Resistance: Expensive to Fake, Not "Unfakeable"

No score built purely from on-chain data can claim to be impossible to fake — self-funding, wash trading, and running multiple wallets to surface only a winning one are all theoretically possible. Arcadia's design goal is not to claim immunity, but to make manipulation **provably expensive and structurally self-defeating**.

Attack vector	Arcadia's defense
Self-funded round trips / wash trading	Trades must execute against real market liquidity on whitelisted venues; statistically matched size/timing between wallets is flagged
Multiple wallets, only the winner surfaced	Wallet-clustering and shared-funding-source detection
Clean record now, reversal after capital arrives	Score is live and continuously updated, not a static badge; post-allocation behavior is monitored the same way pre-allocation history was
Declaring loose risk limits to avoid ever "breaching" them	Bounded minimums/maximums on what counts as an acceptable declared parameter

Slashing is the core economic disincentive. It falls into two objective categories, deliberately kept separate from ordinary trading variance:

1. **Manipulation** (detected wash trading, wallet clustering, self-dealing patterns) → slash
2. **Risk breach** (trading outside declared leverage/position limits) → slash
3. **Bad performance within declared limits** → *not* slashable. A trader who has a losing month while staying within their own stated risk boundaries is simply reflected honestly in their score — this isn't misconduct, it's normal trading variance, and punishing it would undermine the entire premise that Arcadia measures skill rather than luck.

This mirrors how validator networks handle slashing: provable protocol violations are penalized; ordinary bad outcomes are not. Slashed capital is returned to affected investors, preserving the trust loop even when something goes wrong.

Slash events remain permanently on a trader's record for transparency, but their weight in the *current* score decays over time — old, resolved incidents don't permanently freeze out a trader who has since operated cleanly.

6. Capacity: How Much Capital a Trader Can Manage

Investor allocation capacity is tied directly to the trader's own locked, slashable stake — not an open-ended or arbitrary limit:

$$\text{capacity} = \text{self-staked capital} \times \text{multiplier}(\text{score})$$

The multiplier increases in steps as score crosses defined thresholds, so a higher score unlocks a larger multiple of the trader's own stake. This does three things at once:

- **Ties skin-in-the-game directly to scale** — a trader who wants more investor capacity has one clear lever: stake more, keep the score high
- **Prevents score-gaming from translating into capacity-gaming** — inflating a score without also locking more real capital doesn't unlock more allocation
- **Keeps risk proportionate** — capacity is layered with a protocol-level concentration cap (no single trader can absorb more than a fixed % of total platform capital) and a liquidity check (allocated capacity can't force trade sizes that would move the market against the trader on their chosen venues)

Capacity is not static once granted — if a trader's live performance or behavior degrades post-allocation, capacity shrinks dynamically rather than remaining fixed at whatever level they originally earned.

7. No Custody, By Design

The single most important trust guarantee Arcadia offers: **traders never control investor capital.**

- Traders can open and close positions, within their declared risk parameters
- Traders cannot withdraw investor capital, redirect funds outside whitelisted venues, or exceed their declared parameters — enforced at the smart contract level, not by policy
- Investors can deposit, withdraw their own share at any time, and view live performance and full slash history

This directly answers the first question any investor asks about a trading vault: *can the trader run off with my money?* On Arcadia, the answer is structurally no.

8. Business Model

Arcadia earns through a profit split on capital allocated through the protocol:

- **Performance fee** — a percentage of realized profit, split between trader, investor, and Arcadia (primary revenue stream from day one)
- **Management fee** — introduced at mid-scale, on assets under management
- **Trading/routing fee** — introduced at high TVL, on volume routed through integrated venues

This aligns incentives across all three parties: Arcadia only earns when traders and investors are actually making money together.

9. Market Opportunity

Arcadia monetizes **capital allocated to scored traders**, not raw on-chain trading volume — so the relevant market is allocatable capital seeking vetted trading talent, not total DEX activity.

- The broader crypto prop trading market is estimated at **\$20B+**
- Solana daily DEX volume alone exceeds **\$1.7B+**, reflecting the scale of real trading activity the ecosystem already supports

As more trading history, performance data, and capital natively exist on-chain, the underlying data required for a real reputation and allocation layer finally exists at scale — a timing advantage that didn't exist even two years ago.

10. Competitive Landscape

	Read-only analytics / leaderboards	Solana Funded	Axiom Trade	Arcadia
Risk-adjusted scoring	Yes	Partial	No	Yes
Real capital at risk	No	Simulated capital	Yes	Yes, trader-staked
Direct capital allocation to traders	No	No (unilateral payout adjudication)	Limited	Yes, protocol-native
Trader custody of investor funds	N/A	N/A	Varies	Never — smart contract enforced
Manipulation resistance mechanism	None	Limited	Limited	Stake + slashing + live monitoring

Existing tools can tell you who looks skilled. None of them let capital actually flow to that trader, under investor-protected, no-custody conditions, with skin-in-the-game enforcement. That combination is Arcadia's category.

11. Team

Arcadia is built by a three-person founding team combining Solana development experience with product and go-to-market execution. *(Expand this section with one specific, credibility-building sentence per founder — background, prior projects, or domain expertise directly relevant to trading, DeFi infrastructure, or protocol security.)*

12. Vision & Roadmap

Arcadia's long-term vision is to become the trust and capital-allocation layer sitting atop on-chain trading generally — the place any investor goes to find and fund proven skill, and the place any skilled trader goes to turn a real track record into real capital, without needing a name, a network, or a fund behind them.

Near-term priorities:

- Live demo / testnet deployment enabling real traders and investors to test the full flow
 - Initial pilot cohort of traders and investors to validate the mechanism and gather direct feedback
 - Formal audit of the staking, slashing, and no-custody smart contract logic ahead of mainnet
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13. The Ask

Arcadia is raising **\$150,000 at 5% equity** to fund initial development, security auditing, and launch of the pilot cohort described above.

This document reflects the current design of Arcadia Protocol as of mid-2026 and will be updated as the mechanism is validated with real traders and investors.